

Charter of the Tokenomics Committee:

Objectives and Areas of Authority of the Committee

- Promote sustainable growth and adoption of the Canton Network
- This committee will encourage and facilitate participation in the Canton Network by reviewing and recommending incentive structures, participant programs, and tokenomics related policies that support long term network adoption.

This committee will:

- Regularly consider new incentive mechanisms to bring adoption to the Canton Network.
- Review the effectiveness of existing incentive programs, including those related to Validators, Super Validators, Featured Apps, and other approved network participants.
- Recommend updates to incentive structures where needed to improve alignment, reduce abuse, and support sustainable ecosystem growth.
- Consider tokenomics related issues and concerns delegated by the Canton Foundation Board of Directors.
- Report findings and recommendations to the Board of Directors as appropriate.

Review Validators, Featured Apps, and Super Validator related proposals

This committee will review applications and proposals related to participation in the Canton Network, including Validators, Featured Apps, and Super Validators.

This committee will:

- Review applications from entities seeking to join the Canton Network as Validators.
- Review applications from applications seeking to become Featured Apps.
- Review Canton Improvement Proposals, including applications to join the Canton Network as a Super Validator.
- Recommend how the Canton Foundation should vote on CIPs, including Super Validator applications, subject to Board approval where required.
- Vote on behalf of the Canton Foundation only where specifically authorized by the Board of Directors.
- Provide summaries of its review and vote outcomes to the appropriate stakeholders, including the Board of Directors and Super Validator community where applicable.

Monitor compliance with network participation standards

This committee will regularly review Apps, Validators, and Super Validators for compliance with applicable standards, approved guidance, and participation requirements.

This committee will:

- Review participant activity against applicable Canton Network rules, CIPs, guidance, and committee approved procedures.

- Recommend removal, suspension, reduction, or other action where warranted.
- Review Featured App activity, including compliance with applicable marker, traffic, locking, staking, or other reward related guidance.
- Review Super Validator compliance with approved milestone, locking, operational, or other participation requirements.
- Coordinate with the Accountability Committee or other relevant committees where review, enforcement, or appeal processes require additional input.
- Recommend updates to enforcement procedures where needed to improve consistency, transparency, and fairness.

Review and recommend Canton Improvement Proposals

This committee will review Canton Improvement Proposals that affect network tokenomics, incentive design, participant eligibility, reward mechanisms, Super Validator participation, Featured App status, or other network governance matters within the committee's scope.

This committee will:

- Review CIPs submitted through the applicable Canton Foundation process.
- Discuss proposals in committee meetings or through approved asynchronous processes.
- Recommend how the Canton Foundation should vote on CIPs.
- Escalate matters requiring Board approval to the Board of Directors.
- Provide feedback to proposal authors where additional information, revision, or clarification is needed.
- Maintain a review process that is timely, transparent, and consistent with the committee's authority.

Formalize and maintain network rulebook guidance

This committee will support the development and maintenance of a Network Rulebook in collaboration with the Board and other relevant committees.

This committee will:

- Identify areas where additional participant guidance, enforcement procedures, or incentive rules are needed.
- Recommend formal policies or procedures related to network participation, Featured Apps, Validators, Super Validators, CIPs, and tokenomics.
- Coordinate with other committees where policies overlap with technical operations, accountability, legal, finance, or governance matters.
- Review and recommend updates to existing guidance as the network evolves.

Support continuous improvement of committee operations

This committee will continuously consider ways to improve its own processes, review standards, transparency, and responsiveness.

This committee will:

- Review committee cadence, voting procedures, intake processes, and service level expectations.
 - Maintain appropriate documentation of decisions, recommendations, and votes.
 - Ensure that committee processes are understandable to applicants, participants, and the broader Canton ecosystem.
 - Recommend changes to its charter or terms of reference to the Board of Directors when needed.
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Bylaws of the Committee

Committee composition, terms, and alternates

- The Tokenomics Committee will consist of up to five voting members appointed by the Canton Foundation Board of Directors.
- At least one voting member will be a representative of the Board of Directors.
- The Board may also appoint up to three alternates.
- Alternates may participate in Committee meetings and discussions.
- Alternates may vote only when serving in place of an absent voting member.
- Committee members and alternates shall serve for the terms designated in the Board resolution appointing them.
- Unless otherwise specified by the Board, Committee members and alternates shall serve one year terms and may be reappointed.
- The Board may stagger terms to support continuity and orderly rotation.
- If a voting member resigns, is removed, becomes unable to serve, or no longer meets applicable eligibility requirements, the Board may appoint a replacement for the remainder of that member's term.
- The Committee may recommend candidates for open voting member or alternate seats, but appointments remain subject to Board approval.
- The Chair of the Committee will be appointed by the Board of Directors unless otherwise determined by the Board.
- If the Chair or Vice Chair has not been appointed by the Board, the Committee may elect a Chair or Vice Chair, each to serve for a one year term or until a successor is appointed or elected.

Participation

- Any Canton Foundation member may participate in Committee meetings unless the Committee determines that a closed session is required.

- The Chair may invite legal counsel, subject matter experts, Foundation staff, or other individuals to attend meetings to assist the Committee.
- Committee members may be accompanied by legal counsel or subject matter experts where appropriate.
- Participation in meetings does not automatically confer voting rights.

Meetings and communications

- Meetings may be called by the Chair of the Board of Directors, the Chair of the Committee, or the Vice Chair of the Committee.
- Meetings will be held with such frequency as appropriate based on matters delegated to the Committee.
- Meeting notices should include an agenda.
- Communications will be coordinated through the Committee mailing list, Slack channel, and other approved Foundation systems.
- Minutes will be taken for Committee meetings.
- After review and approval by the Committee, minutes will be shared with the full Board of Directors.

Quorum and voting

- Three voting members are required for quorum unless a different quorum is required for a specific vote type.
- Validators, Featured Apps, and CIP votes may have their own quorum and voting requirements.
- For Validators and Featured Apps, a simple majority vote may recommend approval to the Super Validators where the Committee has been empowered by the Board to make such recommendations on behalf of the Canton Foundation.
- For CIPs, including applications to join the Canton Network as a Super Validator, a simple majority vote with a minimum of three votes is required to recommend how the Canton Foundation should vote.
- A passing CIP recommendation will be referred to the Board of Directors where Board approval is required.
- Unless otherwise authorized by the Board, the Committee does not have authority to adopt resolutions or make decisions binding on the Canton Foundation.

Review timeline

- The Committee should aim to review and vote on matters within one week of submission or referral, unless a formal request for additional time is made.
- Where additional information is required, the Committee may defer action and request clarification from the applicant, proposer, or relevant committee.

- The Committee should provide a summary of its review and vote after completion of the process.

Scope limits

The Committee will limit decisions and recommendations to matters within its primary objectives and areas of authority, including:

- Validator applications.
- Featured App applications.
- Canton Improvement Proposals.
- Super Validator applications and related milestone or weight matters.
- Network incentive mechanisms.
- Participant compliance and enforcement recommendations.
- Tokenomics related network governance.
- Network Rulebook development and related guidance.

Relationship to the Board

- The Committee operates under authority delegated by the Canton Foundation Board of Directors.
- The Committee shall report to the Board on its findings and recommendations.
- The Board may delegate additional tokenomics or network governance matters to the Committee from time to time.
- The remit of the Committee shall be reviewed by the Board at least once every twelve months to determine whether the Committee should continue and, if so, in what form.

Amendment

This Charter may only be amended by resolution of the full Canton Foundation Board of Directors.